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22.02 Features of Internal Trade

The following are the features of internal trade

a. The buying and selling of goods takes place within the boundaries of the same country.

b. Payment for goods and services is made in the currency of the home country.

c. It involves transactions between the producers, consumers and the middlemen.

d. It consists of a distribution network of middlemen and agencies engaged in exchange of goods and services.

e. In home trade the risk of transportation is very less when compared to the foreign trade.

f. In home trade the laws prevailing in that country only have to be followed.

g. The aim of home trade is to provide the goods and services economically.

h. The goods must be a part of domestic production.

i. Goods must be purchased from an individual or a firm established within a country.

J. Goods can be delivered using locally available modes of transport.

k. It does not involve any custom/import duty, but buyers need to pay the taxes to the Government.

Types of Internal Trade

Home trade consists of two main sub-divisions namely

1. Wholesale trade and 2. Retail trade

Wholesale Trade

"Purchase of goods in bulk from the manufacturers and selling them in smaller quantities to other intermediaries" is known wholesale trade.

Retail Trade

Retail trade deals with the distribution of goods in small quantities to the consumers.

22.03 Foreign Trade - Meaning

Foreign trade is a trade between a seller and buyer of different countries. It involves the exchange of goods and services of one country with another country. Mostly shipping and air transports are used for carriage of goods in international trade. The currencies of trading nations and commonly agreeable currency if any to both may be used in the said international trade.

E.g., Petrol and Aeroplanes.

Types of Foreign Trade

A. Import Trade

Import trade means buying goods from a foreign country for domestic use. Example. India imports petroleum products from Gulf Countries. India imports machinery, equipment, materials etc. It is necessary to speed-up industrialization, to meet consumer demands and to improve standard of living.

